Esso Petroleum Company, Limited and subsidiaries
(Reg. No. 26538)

DIRECTORS

Sir Archibald Forster BSc F Eng (Chairman)
Mr D Clayman BSc C Eng (Managing Director)
Mr K H Taylor BSc PhD
Mr J I Alcock BA MBA (Executive Director)

SECRETARY

Mr M F Westlake FCA

REGISTERED OFFICE

Esso House
Victoria Street
London SW1E 5JW

AUDITORS

Price Waterhouse
Southwark Towers
32 London Bridge Street
London SE1 9SY

REPORT OF THE DIRECTORS

The Directors present their annual report and the audited accounts for the year ended 31 December 1990.

CHAIRMAN

Sir Archibald Forster continued as Chairman of the Board of Directors throughout 1990.

DIRECTORS

The present Directors of the Company are noted on page 1.

All the Directors retire at the Annual General Meeting and are eligible for re-election.

DIRECTORS' INTERESTS

During the year and in the period to 25 March 1991 none of the Directors had any interests in shares of any company in the Group or of any other company such as would require to be disclosed in accordance with the provisions of Schedule 7 of the Companies Act 1985.

REVIEW OF THE BUSINESS

The principal activities of the Group are the refining, distribution and marketing of petroleum products in the United Kingdom.

The principal subsidiaries of the Company at 31 December 1990 are listed in note 10 to the accounts.

During the year the Group share of sales of petroleum products in the United Kingdom was at similar levels to that achieved in the previous year. 1990 was a successful year in spite of strong competition and volatile price movements. Significant slowdown in growth of the British economy, coupled with the warmer than normal weather, resulted in the United Kingdom oil demand increasing by only half a percent versus 1989.

FUTURE DEVELOPMENTS

The Group intends to remain a major refiner and marketer of petroleum products in the United Kingdom.

RESEARCH AND DEVELOPMENT

The Esso Research Centre near Abingdon is the focus of the petroleum products research effort in support of the Group's activities in the United Kingdom. It played a key role in the launch during the third quarter of Esso Performance Fuels which were designed to meet the needs of new cars and engines. The centre has a specialist responsibility to Exxon corporation worldwide for research into automotive and aviation fuels and engine lubricants. A comprehensive technical support service is provided, covering crude oils, industrial fuels and lubricants, bitumens and greases.

The Centre also provides research and guidance to the Group on environmental matters and is the location for research by Exxon Chemical.

The Group is also able to call on the extensive research and development resources of Exxon Corporation.

RESULTS AND DIVIDENDS

Group net profit for the year was £113 million. No dividends were paid during the year.

CHANGES IN FIXED ASSETS

Additions to fixed assets of the Group for the year amounted to £196 million. Net tangible assets increased by £133 million to £1 434 million. Further details of fixed assets are provided in notes 8 and 9 to the accounts.

DONATIONS

During 1990 the Group made donations and other support to the community of £1 386 000. Of this, charitable donations amounted to £266 580. There were no political donations.

REPORT OF THE DIRECTORS

EMPLOYEE INVOLVEMENT

The Group has established over many years a comprehensive programme of employee communication and consultation. The Directors are committed to the continued involvement of employees in this way as an essential element in the Group remaining efficient and competitive. It is an integral part of management's responsibility to ensure that all employees understand the Group's objectives and the contribution that the individual can make to their achievement.

EMPLOYMENT POLICY

The Group is an equal opportunity employer and complies with all relevant legislation. It pays particular attention to measures which will encourage the employment and career development of both women and ethnic minorities.

The Group's policy is also to ensure that equal opportunities, including training, career development and promotion exist for disabled persons having regard to their particular aptitudes and abilities.

HEALTH AND SAFETY

The Company has a policy to conduct its business in a manner that protects the safety of the employees, others involved in its operations, customers and the public. The Company will strive to prevent all accidents, injuries and occupational illnesses through the active participation of every employee. The Company is committed to continuous efforts to identify and eliminate or manage safety risks associated with its activities.

ENVIRONMENTAL POLICY

The Company has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community. Further, it is the Company's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws or regulations do not exist.

AUDITORS

The auditors, Price Waterhouse, have signified their willingness to be re-appointed.

By Order of the Board,
M F Westlake, 25 March 1991

REPORT OF THE AUDITORS

To the members of Esso Petroleum Company, Limited.

We have audited the financial statements on pages 4 to 18 in accordance with Auditing Standards.

In our opinion the financial statements give a true and fair view of the state of affairs of the Company and the Group at 31 December 1990 and of the profit and source and application of funds of the Group for the year then ended and have been properly prepared in accordance with the Companies Act 1985.

Price Waterhouse

Price Waterhouse
Chartered Accountants
25 March 1991

Southwark Towers
32 London Bridge Street
London SE1 9SY

ACCOUNTING POLICIES

These accounts have been prepared in accordance with the requirements of the Companies Act 1985 and are based upon the historical cost convention, except where noted below with regard to fixed assets. The main accounting policies used in preparing the accounts are described below.

BASIS OF CONSOLIDATION

The Group accounts incorporate the assets, liabilities, revenue and expenses, after adjusting for unrealised profits on intra-group transactions, of the Company and its subsidiaries as shown by their audited accounts made up to 31 December 1990.

FOREIGN CURRENCIES

Foreign currency balance sheet items are translated at rates ruling at the year end. Foreign currency transaction differences are included in the appropriate profit and loss account categories.

FIXED ASSETS

ASSET VALUATIONS

Fixed Assets are valued at cost or market value.

Assets held under leases which transfer substantially all the benefits and risks of the ownership to the lessee (finance leases) are included at a cost equivalent to the net present value of the lease payments.

DEPRECIATION AND AMORTISATION

Depreciation and amortisation are charged to reduce the cost of each group of assets to their residual values over their expected useful lives.

All assets are depreciated or amortised by equal annual instalments at rates ranging from 2 per cent to 25 per cent per annum, except assets under construction and freehold land on which no depreciation is provided.

GOODWILL

Goodwill arising on acquisitions and recorded in the balance sheet is amortised through the profit and loss account. The Group amortises such purchased goodwill by equal annual instalments over the purchased goodwill's expected useful life, using rates between 5 and 10 per cent per annum.

RESEARCH AND DEVELOPMENT EXPENDITURE

Research and development expenditure is charged to income as incurred and is included in cost of sales.

STOCKS

Stocks are stated at the lower of cost and net realisable value. Cost is calculated using the first-in first-out method, including an appropriate proportion of overheads.

PENSION COSTS

The company operates a defined benefit pension scheme, the assets of which are held in a separate trustee - administered fund. Separate accounts are maintained within the plan for each participating company. The pension cost is charged to the profit and loss account so as to spread the cost over the service lives of employees. Experience variations are spread over the average remaining service lives of current employees. The pension cost is assessed in accordance with the advice of qualified actuaries.

The above is in accordance with SSAP 24.

DEFERRED TAXATION

Provision for deferred taxation is made using the liability method only to the extent that taxation is expected to be payable in the foreseeable future.

GROUP PROFIT AND LOSS ACCOUNT

for the year ended 31 December

	Note	1990	1989
		£m	£m
Gross Turnover		4,765.1	4,466.3
Excise duties and VAT		(2,173.8)	(1,994.9)
Net Turnover	1	2,591.3	2,471.4
Cost of Sales	2	(2,019.5)	(1,967.2)
Gross Profit		571.8	504.2
Distribution Costs	2	(307.7)	(300.6)
Administrative Expenses	2	(32.7)	(24.7)
Interest Receivable		21.0	10.7
Interest Payable	3	(133.8)	(88.1)
PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION	4	118.6	101.5
Taxation on profit on ordinary activities	6	(3.5)	(6.4)
PROFIT ON ORDINARY ACTIVITIES AFTER TAXATION		115.1	95.1
Minority Interest		(2.4)	(2.1)
PROFIT FOR THE FINANCIAL YEAR	7	112.7	93.0
Amounts added to reserves	18	(112.7)	(79.0)
DIVIDENDS PAID		0.0	14.0

BALANCE SHEETS

as at 31 December

	NOTE	GROUP 1990 £m	1989 £m	COMPANY 1990 £m	1989 £m
FIXED ASSETS					
Intangible Assets	8	23.4	20.2	1.1	2.0
Tangible Assets	9	1,433.8	1,301.4	1,395.7	1,270.0
Investments	10	0.0	0.0	56.4	39.1
TOTAL FIXED ASSETS		1,457.2	1,321.6	1,453.2	1,311.1
CURRENT ASSETS					
Stocks	11	344.9	347.0	338.1	339.1
Debtors	12	838.6	364.8	840.4	378.8
Cash at Bank and in Hand		26.3	25.7	18.4	20.1
TOTAL CURRENT ASSETS		1,209.8	737.5	1,196.9	738.0
CREDITORS FALLING DUE WITHIN ONE YEAR	13	(1,076.5)	(784.4)	(1,075.0)	(786.8)
NET CURRENT ASSETS /(LIABILITIES)		133.3	(46.9)	121.9	(48.8)
TOTAL ASSETS LESS CURRENT LIABILITIES		1,590.5	1,274.7	1,575.1	1,262.3
CREDITORS FALLING DUE AFTER MORE THAN ONE YEAR	13	666.6	462.9	665.6	462.0
DEFERRED TAXATION	15	5.6	6.5	0.0	0.0
MINORITY INTEREST	16	2.4	2.1	0.0	0.0
CAPITAL AND RESERVES					
Called up Share Capital	17	228.4	228.4	228.4	228.4
Revaluation Reserve	18	330.5	331.0	330.5	331.0
Profit and Loss Account	18	357.0	243.8	350.6	240.9
TOTAL CAPITAL AND RESERVES		915.9	803.2	909.5	800.3
		1,590.5	1,274.7	1,575.1	1,262.3

Sir Archibald Forster Director
Mr J I Alcock Director

25 March 1991

GROUP FUNDS STATEMENT

for the year ended 31 December

	1990 £m	1989 £m
SOURCE OF FUNDS		
Profit on ordinary activities before taxation, less minority interest	116.2	99.4
Depreciation and amortisation	52.7	45.9
FUNDS GENERATED FROM OPERATIONS	168.9	145 3
FUNDS FROM OTHER SOURCES		
Disposal of fixed assets	8.0	5.2
WORKING CAPITAL		
Stocks	2.1	(90.6)
Debtors	(89.1)	(96.2)
Creditors falling due within one year	25.3	96.5
Cash	(0.6)	(3.6)
Other	(6.1)	(6.7)
DECREASE/(INCREASE) IN WORKING CAPITAL	(68.4)	(100.6)
TOTAL SOURCE OF FUNDS	108.5	49.9
APPLICATION OF FUNDS		
Additions to fixed assets	196.3	219.5
Taxes paid	4.2	5.7
Dividends	0.0	14.0
TOTAL APPLICATIONS OF FUNDS	200.5	239.2
NET FINANCING		
DECREASE/(INCREASES) IN LOANS FROM:		
Related companies	(92.0)	(189.3)

NOTES TO THE ACCOUNTS

1 NET TURNOVER

Turnover consists of sales of crude oil, petroleum products and related goods and services

	1990	1989
	£m	£m
U.K	2411.7	2293.3
Europe	21.9	18.7
Rest of the World	157.7	159.4
TOTAL	2591.3	2471.4

The Group's turnover and profit before tax is all related to the oil and gas business.

2 CATEGORIES OF COSTS

COST OF SALES

Cost of sales represents the cost of crude oil, petroleum products and related goods and services sold during the year, including research and manufacturing costs, and the cost, including freight, of purchases from third parties.

DISTRIBUTION COSTS

Distribution costs represent the costs of marketing and transporting petroleum products and related goods and services.

ADMINISTRATIVE EXPENSES

Administrative expenses relate to expenses of general management and related staff activities pertaining to the administration of the overall business.

3 INTEREST PAYABLE

	1990	1989
	£m	£m
Amounts payable to related companies	(124.6)	(73.6)
Other	(9.2)	(14.5)
TOTAL	(133.8)	(88.1)
Other interest comprises:		
Interest payable on bank and other borrowings repayable within five years	(4.4)	(10.6)
Interest payable on finance leases	(4.8)	(3.9)
TOTAL	(9.2)	(14.5)

4 PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

	1990	1989
	£m	£m
This is stated after charging/(crediting) the following amounts:		
Auditors' remuneration	0.3	0.3
Operating leases - hire of plant & equipment	4.9	3.0
- other	0.1	8.8
Depreciation and amortisation - owned assets	50.0	43.2
- assets held under finance leases	2.7	2.7
Research and development	8.9	7.7
Wages and salaries	117.2	112.4
Social security costs	9.4	8.2
Pensions (see note 5)	(18.0)	2.3
EMOLUMENTS	£000	£000
Aggregate pre-tax emoluments of chairman and other directors	364.1	330.0
Chairman's emoluments, excluding pension contributions	131.7	114.0
Emoluments of highest paid director, excluding pension contributions	146.3	127.0

NOTES TO THE ACCOUNTS

4 PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION (CONTINUED)
EMOLUMENTS(CONTINUED)

Wages and salaries, social security and other pension costs shown above include amounts payable to employees seconded to Esso Exploration and Production UK Limited.

In the table below emoluments exclude pension fund contributions. After tax incomes are shown at the mid-point of each band using appropriate 1990/91 tax rates. Recipients are assumed to be married men with no other income.

GROSS INCOME			AFTER TAX	DIRECTORS	
£		£	£	1990	1989
5 001	-	10 000	6,807		1
10 001	-	15 000	10,557	1	
60 001	-	65 000	42,495	1	1
110 001	-	115 000	72,495		1
125 001	-	130 000	81,495		1
130 001	-	135 000	84,495	1	
145 001	-	150 000	93,495	1	

5 PENSIONS

At 31 December 1989 the market value of the assets of the fund was £596.0 million and the actuarial value of the assets was sufficient to cover 122% of the benefits that had accrued to members, after allowing for expected future increases in salaries. In 1990 pensions produced a credit for the year of £18.0 million (1989, Debit £2.3 million). The credit in 1990 is mainly the recognition of good asset performance in prior years. A prepayment of £72.1 million in respect of pension costs is included in debtors.

The latest full actuarial valuation of the scheme was at 31 December 1989. For accounting purposes the actuarial position is updated annually. The actuarial method used was the projected unit credit method. In these actuarial calculations it was assumed that investment returns would be 2.5 per cent higher than salary increases. No allowance was made for increases to pensions in payment.

For funding purposes the actuarial basis used in 1990 was broadly similar to that used for accounting, except that the actuarial value of the scheme's assets was actuarially determined based on discounting expected income rather than the market-related basis used for accounting.

NOTES TO THE ACCOUNTS

6 TAXATION ON PROFIT ON ORDINARY ACTIVITIES - (Charge)/Credit	1990	1989
	£m	£m
UK Corporation Tax - payable	(4.4)	(6.6)
- deferred	0.9	0.4
Amounts(payable)/receivable from related companies for surrender of prior year tax losses	0.0	(0.2)
TOTAL	(3.5)	(6.4)

Corporation Tax has been calculated at 35% on the profits of subsidiary companies. No Corporation Tax liability arises on the profits of the Company for the year, but the charge to the Profit and Loss Account includes £3.6 million in respect of a prior year.

Provision for deferred Corporation Tax has been made to the extent that liabilities are expected to crystallise as a result of reversing timing differences. The amount provided above is in respect of certain subsidiaries; no provision has been made in respect of the Company.

If a full deferred tax provision had been made, the total tax charge for 1990 would have been £50.2 million (1989, £36.3 million) compared with £3.5 million above.

7 PROFIT FOR THE FINANCIAL YEAR

Esso Petroleum Company, Limited has not presented its own profit and loss account, as permitted by Section 228(7) of the Companies Act 1985. The amount of the consolidated profit for Esso Petroleum for the financial year dealt with in the accounts of the holding company is £109.2 million.

NOTES TO THE ACCOUNTS

8 INTANGIBLE ASSETS

GROUP

	Goodwill	Other	Total £m
COSTS			
Balance at beginning of year	19.1	3.6	22.7
Additions	5.6	0.0	5.6
Disposals	0.0	(0.2)	(0.2)
BALANCE AT END OF YEAR	24.7	3.4	28.1
AMORTISATION			
Balance at beginning of year	0.9	1.6	2.5
Charge for year	1.5	0.8	2.3
Disposals	0.0	(0.1)	(0.1)
BALANCE AT END OF YEAR	2.4	2.3	4.7
NET BOOK VALUE AT 31 DECEMBER 1990	22.3	1.1	23.4

COMPANY

	Other	Total £m
COSTS		
Balance at beginning of year	3.6	3.6
Additions	0.0	0.0
Disposals	(0.2)	(0.2)
BALANCE AT END OF YEAR	3.4	3.4
AMORTISATION		
Balance at beginning of year	1.6	1.6
Charge for year	0.8	0.8
Disposals	(0.1)	(0.1)
BALANCE AT END OF YEAR	2.3	2.3
NET BOOK VALUE AT 31 DECEMBER 1990	1.1	1.1

NOTES TO THE ACCOUNTS

9 TANGIBLE ASSETS

GROUP

£m	Land & Buildings	Plant & Equipment Marketing Refining Transportion	Assets Under Construction	Total
COST OR VALUATION				
Balance at beginning of year	558.4	862.3	281.3	1,702.0
Additions	53.6	63.3	73.8	190.7
Revaluation surplus realised on disposal	(0.5)	0.0	0.0	(0.5)
Disposals	(2.6)	(12.6)	(0.2)	(15.4)
BALANCE AT END OF YEAR	608.9	913.0	354.9	1,876.8
DEPRECIATION				
Balance at beginning of year	48.3	352.3	0.0	400.6
Charge for year	5.5	44.9	0.0	50.4
Disposals	(0.9)	(7.1)	0.0	(8.0)
BALANCE AT END OF YEAR	52.9	390.1	0.0	443.0
NET BOOK VALUE AT 31 DECEMBER 1990	556.0	522.9	354.9	1,433.8
NET BOOK VALUE AT 31 DECEMBER 1989	510.1	510.0	281.3	1301.4

COMPANY

£m	Land & Buildings	Plant & Equipment Marketing Refining Transportion	Assets Under Construction	Total
COST OR VALUATION				
Balance at beginning of year	552.6	796.2	280.7	1,629.5
Additions	53.1	52.7	72.9	178.7
Revaluation surplus realised on disposal	(0.5)	0.0	0.0	(0.5)
Disposals	(2.4)	(12.1)	(0.6)	(15.1)
BALANCE AT END OF YEAR	602.8	836.8	353.0	1,792.6
DEPRECIATION				
Balance at beginning of year	47.4	312.1	0.0	359.5
Charge for year	5.8	41.4	0.0	47.2
Disposals	(0.7)	(9.1)	0.0	(9.8)
BALANCE AT END OF YEAR	52.5	344.4	0.0	396.9
NET BOOK VALUE AT 31 DECEMBER 1990	550.3	492.4	353.0	1,395.7
NET BOOK VALUE AT 31 DECEMBER 1989	505.2	484.1	280.7	1,270.0

NOTES TO THE ACCOUNTS

9 TANGIBLE ASSETS (CONTINUED)

Included in the tangible assets for both Group and Company are assets with a net book value of £0.8 million (1989, £0.7 million) which have been identified as surplus to requirements, assets with a net book value of £33.0 million (1989, £35.7 million) held under finance leases, and £47.9 million (1989, £41.2 million) of assets subject to an option agreement which allows the lessor to purchase them for a nominal amount should there be any interruption in loan payments.

As at 31 December 1989 certain assets, with a historical cost of £67 million were revalued to £398 million, by a member of the Royal Institute of Chartered Surveyors employed by Esso Petroleum Company Limited, to open market values for existing use. The Directors have reviewed this valuation and consider that there has been no diminution in value. The movement in the reserve reflects site disposals during the year.

NET BOOK VALUE OF LAND AND BUILDINGS	GROUP 1990	1989	COMPANY 1990	1989
COMPRISES:	£m	£m	£m	£m
Freehold	514.1	467.7	508.6	463.0
Long Leasehold	25.1	24.5	25.1	24.5
Short Leasehold	16.8	17.9	16.6	17.7
	556.0	510.1	550.3	505.2

NOTES TO THE ACCOUNTS

10 INVESTMENTS

	COMPANY Shares in Group Companies
Cost	£m
Balance at beginning of year	39.1
Other movements	17.3
BALANCE AT END OF YEAR	56.4

Details of companies in which the Group holds more than 10% of any class of equity share capital or more than 10% of the total allotted share capital are given below:

NAME OF COMPANY	Country of Incorporation	Class of Shares	Proportion of Shares
Dart Oil Company Limited	United Kingdom	Ordinary	100%
Calcutt Service Station Limited	United Kingdom	Ordinary	100%
Lanalight Limited	United Kingdom	Ordinary	100%
Kingston Garage (Hull) Limited	United Kingdom	Ordinary	100%
Cleveland Petroleum Company Limited	United Kingdom	Ordinary	100%
Bridgecrown Limited	United Kingdom	Ordinary	100%
Esso Marine U.K. Limited	United Kingdom	Ordinary	100%
Mainline Pipelines Limited	United Kingdom	Ordinary	65%
Comma Holdings Limited	United Kingdom	Ordinary	100%
Sigas Limited	United Kingdom	Ordinary	100%
Essogas Limited	United Kingdom	Ordinary	100%
Saygas Limited	United Kingdom	Ordinary	100%
Ironbrace Limited	United Kingdom	Ordinary	100%

The above list comprises the principal subsidiaries of the Company, the accounts of which have been included in the Group accounts.
Saygas Limited and Ironbrace Limited were acquired during the year ended 31 December 1990.

NOTES TO THE ACCOUNTS

11 STOCKS	GROUP 1990	1989	COMPANY 1990	1989
	£m	£m	£m	£m
Raw materials and consumables	95.8	111.3	95.6	108.2
Work in progress	64.2	63.7	64.2	63.7
Finished goods and goods for resale	184.9	172.0	178.3	167.2
TOTAL	344.9	347.0	338.1	339.1

The replacement cost of all categories of stocks held by the Group at 31 December 1990 was £344.9m

12 DEBTORS	GROUP 1990	1989	COMPANY 1990	1989
	£m	£m	£m	£m
Trade debtors	193.6	148.3	184.4	140.6
Amounts owed by related companies	416.4	41.7	431.4	66.4
Other debtors	60.5	29.1	55.6	24.2
Prepayments and accrued income	168.1	145.7	169.0	147.6
TOTAL	838.6	364.8	840.4	378.8
Included in the above are the following amounts falling due after more than one year:				
Other debtors	50.5	20.6	50.5	20.6
Prepayments and accrued income	69.9	77.4	69.9	77.4
TOTAL FALLING DUE AFTER ONE YEAR	120.4	98.0	120.4	98.0

Included in the Company 'Amounts owed by related companies' is £12.3m (1989 £9.1m) due from subsidiaries.

13 CREDITORS	GROUP 1990	1989	COMPANY 1990	1989
	£m	£m	£m	£m
AMOUNTS FALLING DUE WITHIN ONE YEAR				
Bank Loans and overdrafts	28.5	44.3	28.4	43.9
Obligations under finance leases	3.8	3.6	3.8	3.6
Trade Creditors	186.0	156.7	176.6	150.0
Amounts owed to related companies - trade accounts	53.6	75.3	70.4	91.7
- short term loans	607.0	340.4	607.0	340.4
Other Creditors	0.5	0.9	0.5	0.9
Taxation and social security	190.4	156.9	181.6	150.6
Accruals and deferred income	6.7	6.3	6.7	5.7
TOTAL	1,076.5	784.4	1,075.0	786.8
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR				
Long and medium term loans (note 14)	663.9	460.6	662.9	459.7
Accruals and deferred income	2.7	2.3	2.7	2.3
TOTAL	666.6	462.9	665.6	462.0

Included in the 'Amounts owed to related companies' is £16.8m (1989,£15.3m) due to subsidiaries.

14 LONG AND MEDIUM TERM LOANS	GROUP 1990	1989	COMPANY 1990	1989
	£m	£m	£m	£m
REPAYABLE AFTER FIVE YEARS				
Obligations under purchase arrangements secured on certain service stations	1.1	1.1	0.2	0.2
Obligations under finance leases	28.4	34.4	28.4	34.4
REPAYABLE IN ONE TO FIVE YEARS				
Amounts owed to related companies	605.3	395.3	605.2	395.3
Obligations under finance leases	29.1	29.8	29.1	29.8
TOTAL	663.9	460.6	662.9	459.7

NOTES TO THE ACCOUNTS

15 DEFERRED TAXATION

	GROUP 1990	1989
	£m	£m
Balance at beginning of year	6.5	6.0
Balance brought forward on acquisitions	0	0.9
Charge/(credits) against net profit	(0.9)	(0.4)
BALANCE AT END OF YEAR	5.6	6.5
Analysis of total deferred taxation		
Capital allowances in excess of depreciation	5.6	6.5
TOTAL	5.6	6.5

There is a £Nil (1989, £Nil) deferred tax balance within the company itself.

The potential amount of deferred taxation payable for all timing differences at the end of 1990 was as follows:

	GROUP 1990	1989	COMPANY 1990	1989
	£m	£m	£m	£m
Capital allowances in excess of depreciation	149.9	133.1	142.6	126.7
Other timing differences	42.4	13.4	42.4	13.6
TOTAL	192.3	146.5	185.0	140.3

16 MINORITY INTEREST

	GROUP
	£m
Balance at beginning of year	2.1
Current year profit	2.4
Dividends paid	(2.1)
BALANCE AT END OF YEAR 1990	2.4

NOTES TO THE ACCOUNTS

17 CALLED UP SHARE CAPITAL AT BEGINNING AND END OF YEAR

Ordinary shares of £1 each - authorised	229 000 000
- allotted and fully paid	228 385 200

18 RESERVES

	GROUP	COMPANY
Profit and Loss Account	£m	£m
Balance at beginning of year	243.8	240.9
Amount taken to reserves	112.7	109.2
Transfer from revaluation reserve	0.5	0.5
BALANCE AT END OF YEAR	357.0	350.6

	GROUP	COMPANY
Revaluation Reserve	£m	£m
Balance at beginning of year	331.0	331.0
Amount transferred to profit and loss account reserve on disposal	(0.5)	(0.5)
BALANCE AT END OF YEAR	330.5	330.5

19 CAPITAL COMMITMENTS

	GROUP 1990	GROUP 1989	COMPANY 1990	COMPANY 1989
	£m	£m	£m	£m
Estimated commitments under contracts for capital expenditure not provided for in these accounts amounted to	61.3	116.9	60.1	115.2
Capital expenditure additionally authorised by the directors as at 31 December amounted to	104.4	127.7	103.7	109.7
TOTAL	165.7	244.6	163.8	224.9

20 COMMITMENTS UNDER OPERATING LEASES

GROUP	1990		1989	
At 31 December annual commitments under operating leases were as follows:	LAND AND BUILDINGS	OTHER	LAND AND BUILDINGS	OTHER
	£m	£m	£m	£m
Operating leases which expire:				
Within one year	0.1	0.0	0.0	0.0
In one to five years	0.3	1.4	1.1	1.9
After five years	4.1	0.1	3.4	0.1
TOTAL	4.5	1.5	4.5	2.0

COMPANY	1990		1989	
At 31 December annual commitments under operating leases were as follows:	LAND AND BUILDINGS	OTHER	LAND AND BUILDINGS	OTHER
	£m	£m	£m	£m
Operating leases which expire:				
Within one year	0.1	0.0	0.0	0.0
In one to five years	0.3	1.4	1.1	1.9
After five years	4.1	0.0	3.4	0.0
TOTAL	4.5	1.4	4.5	1.9

NOTES TO THE ACCOUNTS

21 CONTINGENT LIABILITIES

	GROUP 1990	GROUP 1989	COMPANY 1990	COMPANY 1989
	£m	£m	£m	£m
Guarantees	10.3	11.9	10.3	11.9
TOTAL	10.3	11.9	10.3	11.9

22 EMPLOYEES

	GROUP 1990	GROUP 1989	COMPANY 1990	COMPANY 1989
The average number of persons employed during the year was:				
Marketing, Refining and Transportation	4004	4122	3683	3847
Assigned to Esso Exploration and Production UK Limited	291	286	291	286
TOTAL	4295	4408	3974	4133

23 ULTIMATE HOLDING COMPANY

The ultimate holding company of Esso Petroleum Company, Limited is Exxon Corporation incorporated in New Jersey, USA. The immediate holding company of Esso Petroleum Company, Limited is Esso UK plc incorporated in England and Wales.